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Ambush marketing: unsporting behaviour or fair play?

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**Ent. L.R. 293* Introduction

Almost every major sporting event in recent times has been targeted by ambush marketing activity of one kind or another, and the recent football World Cup in South Africa has proved to be no exception.

South Africa's high-profile "ambush" involved the Dutch brewery, Bavaria, and saw a group of 36 young women dressed in "tightly hugging short orange dresses" singing and generally supporting the men in orange during a group game between the Netherlands and Denmark in Johannesburg's Sun City stadium--after receiving some attention from the cameras, they were ejected from the ground at half-time. The ladies were subsequently questioned by FIFA, and two Dutch women were arrested the next morning and charged with criminal offences under strict South African "anti-ambush" laws.

In the aftermath of the Bavaria saga, a number of concerns have been raised over how ambush marketing should be policed. For example, do the strict laws introduced to deal with such marketing activities at major sporting events strike the right balance between, on the one hand protecting corporate interests, and on the other, safeguarding freedom of commercial expression? And are sporting regulators able to exercise too much control over national law-makers and authorities? Many are also questioning how the World Cup has left South Africa, contrasting the massive profits made by FIFA with the significant expenditure by South Africa in hosting the event, and the limited ability of local businesses to benefit from the tournament.

With the London 2012 Olympics now firmly on the horizon, commentators are also keeping their eye on how the so-called "London Olympics association right" will be enforced by its gamekeeper, LOCOG (the London Organising Committee of the Olympic Games), in the run-up to the competition, again with the question being asked--where should you draw the line?

Background

Ambush marketing, sometimes referred to by its opponents as "guerrilla" or "parasite marketing", can be described as any attempt by an unauthorised marketer to associate their brand with an event, sports team or individual, thereby gaining a benefit from that association, for example through increased public awareness and reputation of the brand. In practice, "ambushes" can vary widely--from a low-level national advertising campaign that plays on the theme of the event in question, to a classic event ambush, where an unofficial marketer manages to secure free coverage at the event itself by planting its brand in front of a global television audience.

This kind of behaviour is of course highly objectionable to the entities who have paid organisers large sums to secure "official" partner or sponsor status--the expectation being that their significant investment must be safeguarded against "unofficial" activity by competitors which could undermine their own exclusivity at the event. The public, and some sections of the media, on the other hand often react much more positively to ambush marketing stories. Many welcome the creative ambition and innovative approaches dreamt up by the marketers, and feel that there is some sport to be had, and no great lasting harm, in ruffling the feathers of the organisers and the "corporate giants".

The rise in ambush marketing is in no small part due to the spiralling costs of corporate sponsorship for large sporting events. The tag of "official sponsor" has become increasingly expensive and exclusive, with some corporations unwilling (Nike is an obvious example), and many more unable to meet the very high financial demands of sponsoring events such as the World Cup, European Championships, the Olympics or the Commonwealth Games. In relation to this year's World Cup in South Africa for example, FIFA is said to have received in the region of \$1.6 billion in sponsorship revenue between 2007 and 2010, with sponsors such as Budweiser, the official beer of the World Cup, paying annual fees of between \$10-25m for the privilege.

The origins of the ambush

There have over the past few decades been countless tales of brands running marketing campaigns off the back of major events--anything from clever product promotions to catchy slogans--there are retailers in almost every sector who have sought to associate themselves with the fanfare of international sporting competition to improve their sales, whilst (mostly) steering clear of any suggestion of IP infringement. The most memorable ambushes however, and those to which organisers seem to object most strongly, are the **Ent. L.R. 294* ambushes which enter the arena of the events themselves, sometimes called ambush marketing by intrusion (as opposed to by association).

For example, at the Barcelona Olympics in 1992, Nike (not an official sponsor) secured sponsorship of all press conferences with the US basketball team (it was the first time the US had fielded professional players, known as the "Dream Team"). Nike's main man, Michael "Air"

Jordan, also covered up the US team's Reebok logo during the gold medal ceremony. Four years later at the Atlanta Olympics in 1996, Reebok was again the official sponsor on the receiving end as Linford Christie famously appeared at a press conference prior to the 100 metre final wearing bright blue Puma-branded contact lenses.

Perhaps the most significant stunt, both in relation to ambush marketing and the subsequent developments in protection strategy, also took place at Atlanta in 1996. In fact, it was everywhere in Atlanta that year--prior to the start of the competition, Nike (again not an official sponsor) had bought up almost every outdoor poster site in the city and even set up its own Nike village next to the "official" Olympic village. When the games began, Nike gave out flags bearing the iconic "swoosh" for the crowds to wave around at the event venues for all the cameras, and the world, to see. The result was that Nike become the corporate face of the games--and all for a fraction of the estimated \$50 million cost of official sponsorship. The same year, Nike also ran a large-scale promotional campaign during football's European Championships in England, Euro '96, including a "mega-billboard" on the North Circular road out to Wembley stadium--this time Umbro was the official sponsor feeling the pain.

The fight-back

Large-scale ambush marketing campaigns of this kind forced sports event organisers to take a closer look at the legislative protection, or lack of it, available to safeguard their major events, and given the importance of commercial backing for such events, it is fair to say that organisers had little option but to push for stronger protections against such behaviour.

Corporate sponsors, who ensure the profitable running of events like the World Cup and Olympics by signing lucrative and supposedly exclusive deals, were becoming increasingly frustrated by the "unofficial" marketing activities of their competitors. There was a feeling amongst sporting authorities that, if left unchecked, large-scale ambushes could threaten the financial viability of the events themselves. Speaking on this issue in 2006 for example, former FIFA General Secretary Urs Linsi said:

"Safeguarding the exclusive rights of our partners is an essential requirement for this, the world's largest privately financed sports event, which generates costs of more than 600 million euros for FIFA alone. Companies that seek to profit from the FIFA World Cup without making a contribution jeopardise the financing of the event through commercial partnerships."

Two main streams of protection have been deployed by organisers in an attempt to safeguard the branding power of sports events: the first is via "traditional" intellectual property rights; the second is through the introduction of specific legislation targeted at preventing unauthorised associations being made with specific events.

IP rights protection

Protection has long been available by way of "traditional intellectual property rights". Trade mark registrations are always the priority, and the likes of FIFA, UEFA and the IOC are constantly extending their portfolios to protect the valuable goodwill in their brands. Numerous event-specific registrations are now commonplace--for South Africa, FIFA began to embark on its rights protection programme as early as 2004, and thereafter sought and obtained registrations for a number of marks, including wide protection under the word marks South Africa 2010 and World Cup 2010.

Indeed, from the latest round of EU-wide Community trade mark (CTM) registrations it seems that the sporting authorities are now hotter than ever on securing early and broad registrations to protect their interests. FIFA's recently registered CTMs include not only marks for the next World Cup (Brazil 2014) but also marks which demonstrate that they are now looking much further ahead, with broad word mark registrations based on candidate countries still in the running to host the 2018 and 2022 tournaments--for example, Spain Portugal 2018, Holland Belgium 2018, England 2018, Spain Portugal 2022, Holland Belgium 2022, England 2022. FIFA have also recently registered various figurative marks, including a 3D mark, depicting the well-known FIFA World Cup trophy.

A similar, and perhaps even broader approach to trade mark protection has been taken by the IOC in relation to the Summer and Winter Olympics, with registrations such as 2012, London 2012, 2014 and Sochi 2014, as well as similar registrations for candidate city hosts for the 2016 summer games.

There is concern in some quarters that many of these registrations are passing the application process too easily. Whilst marks have in the past occasionally been challenged on grounds that they are merely descriptive (and not distinctive)--for example the mark "FUSSBALL WM 2006" was cancelled by the German Federal Supreme Court ("WM" is short for "world championship" in German)--many more make it through (although some rely on grounds of acquired distinctiveness).

Taking the broad registrations of 2014 and England 2018 as examples, it is easy to see how concerns might arise--these registrations could potentially restrict the commercial freedom of others to use these or similar expressions in any products/services or advertising. The **Ent. L.R. 295* marks give the proprietor exclusive use of the particular phrase in connection with a broad range of products and services, which may well prevent such mark or any similar mark being used in relation to any other event taking place that year, sporting or otherwise, as well as on any related merchandise.

Anti-ambush/association protections

While the authorities enforce their trade marks rigorously, traditional intellectual property rights often do not go far enough to protect their events from ambush marketing intrusion-type incidents. It was for example after the antics of 1996 that "exclusion zones" began to be introduced,

preventing non-official advertising in and around stadia prior to and during competition--the first major step towards the additional protection demanded by corporate sponsors.

In more recent years, legislation has been developed by some host countries to specifically deal with ambush marketing (Germany being a notable exception, where it relied on existing unfair competition laws for the 2006 World Cup). The "exclusion zones" discussed above now form just one part of a protection strategy enacted by host countries and cities.

The Olympics was perhaps quicker off the mark in this regard, but FIFA seems to have caught up. For South Africa 2010, the country introduced certain specific legislation in addition to a relatively strong existing framework of South African laws which sat alongside. For example:

- The 2010 FIFA World Cup Special Measures Act 2006 permitted only official sponsors to advertise in designated areas (i.e. "exclusion zones") in and around certain stadia. The legislation contained a "business as usual" rule, under which existing businesses and establishments were not prevented from carrying on their normal business activities (although there was some criticism that this proviso was applied too restrictively).
- Section 9(d) of the Trade Practices Act of 1974 prohibits third parties from publishing or displaying statements or communications which represent, imply or suggest a contractual or other connection or association between that person and the event, or the person officially sponsoring the event.
- The Merchandise Marks Act 1941 was amended in 2002 to provide for the protection of certain events. Pursuant to s.15A para.1, an event may be protected if the event is in the interest of the public and is financed by commercial sponsors, and it is ensured that there are sufficient advertising and marketing possibilities available for smaller and formerly disadvantaged companies. The 2010 World Cup was declared as such an event.
- Section 15A paras 2 and 3 of the 1941 Act prohibit a third party from using its own trade mark without the organiser's authorisation in connection with a protected event in a way calculated to achieve publicity for the trade mark and thereby derive special promotional benefit from the event--the sanctions for breaching the act include criminal fines and/or imprisonment.
- The Sponsorship Code of the Advertising Standards Authority of South Africa also grants additional protection to the exclusive rights of sponsors.

South Africa 2010--FIFA in action

Whilst the actions of Dutch brewer, Bavaria, hit the headlines, FIFA had already made its intentions clear that infringement of its rights and those of its sponsors, whether by small or large enterprises, would not be tolerated in South Africa.

Eastwoods Tavern

In June 2009, FIFA secured a ruling against Eastwoods Tavern, a popular sports bar located close to one of the stadia used in the tournament. FIFA had brought claims against Eastwoods on the grounds of (i) trade mark infringement; (ii) passing off; and (iii) unlawful competition under the Merchandise Marks Act.

The sports bar had displayed a banner "World Cup 2010" below the main signage on its roof and had erected banners featuring the flags of prominent football-playing countries, together with "2010" and "Twenty Ten South Africa". Eastwoods consented to judgment.

Metcash

FIFA also took action against a company called Metcash which was selling ASTOR 2010 lollipops that included South African flags, "2010" and soccer balls on its packaging. In this case, Metcash was ordered by the court to stop selling its lollipops. Metcash did not appeal the judgment--this was a disappointment to local legal commentators, many of whom felt the court did not give sufficient weight to constitutional arguments in relation to Metcash's freedom of commercial expression.

Kulula

Somewhat more successful for the ambusher was the entertaining dispute between FIFA and the low-cost South African airline, Kulula, in March this year. Kulula received a strongly-worded letter from FIFA following an advert promoting the airline as the "Unofficial Carrier Of The You Know What", together with images of **Ent. L.R. 296* vuvuzelas, footballs and a South African flag. Kulula's tongue-in-cheek response was to pull the advert and replace it with one which looked strikingly similar but which was in apparent compliance with FIFA's demands, together with the mischievous strap line "Not next year, not last year, but somewhere in between". Kulula thus avoided an expensive legal battle while poking fun at FIFA, generating more promotional benefit than the original advert would have otherwise done. And the fun didn't stop there--Kulula followed up with a bulldog mascot named Sepp, the first name of FIFA's president, Sepp Blatter. An advert on Kulula's website during the World Cup read: "Sepp is officially flying around SA and creating quite a stir".

Bavaria

Bavaria first got itself in trouble with FIFA four years ago at the 2006 World Cup, when it distributed Bavaria-branded orange lederhosen to Dutch fans, complete with a lion's tail (Holland's national symbol) and extra large pockets to carry beer cans. On that occasion, FIFA allowed the fans to watch the game and no charges were pressed, but on the condition that they take off the lederhosen before entering the stadium in Stuttgart, which left many watching in their underwear.

From lederhosen to dresses, Bavaria's marketing attempts in South Africa were met with a much bolder response. FIFA was evidently on the look-out for a ruse, and when 36 young Dutch ladies appeared on TV screens around the world in identical orange outfits (albeit with very limited branding), FIFA's "rights protection team"--a unit dedicated to monitoring potential marketing "abuses" in and around the grounds--took a sharp interest.

At half-time, the women were ejected from the ground, and detained at a FIFA office for a number of hours where they were extensively questioned, supposedly by FIFA and the police, about the stunt and the extent of Bavaria's involvement. Early the next morning, two Dutch women were charged with offences under the Merchandise Marks Act, and appeared before the Johannesburg Magistrate's Court (renamed for the tournament as the "FIFA World Cup Courts") before a settlement was reached to secure their release. In a bizarre twist, ITV pundit Robbie Earle was also caught up in the drama, and was sent home in the fallout for allegedly selling his allocation of tickets to Bavaria prior to the game.

Looking forward

Whilst FIFA is holding firm, it will no doubt have learnt from the experience of South Africa, not least the reality of quite how much publicity can inadvertently be fuelled by what is perceived by the media as "unfair" targeting of ambushers. But with corporate sponsorship so crucial, FIFA will have no choice but to take a deep breath and start all over again for Brazil 2014, and beyond.

Before then, in just two years' time, thousands of athletes and supporters will descend on London as the Olympic Games 2012 get underway and ambush is high on the agenda.

In the United Kingdom, the London Olympic Games and Paralympic Games Act 2006 amended earlier Olympic legislation (introduced in line with the IOC Olympic Charter) to strengthen existing protection for Olympic representations, known as the Olympic Association Right (OAR), and also to create a specific London Olympic Association Right (LOAR).

The OAR restricts the use of general Olympic "representations" including the famous interlocking rings, words such as "Olympic" and "Olympian" and other mottos and symbols.

LOAR is specific to the London games, and its objective is to prevent any activity which creates an unauthorised commercial association with the London 2012 Olympics. The legislation gives seemingly wide protection--it also lists various specific terms such as 2012, Twenty Twelve, Games, gold, London, medals, summer, which if used in certain combinations could indicate such an association (these were originally included as hard restrictions, but in the final version of the Act are terms that the court "may take into account"). LOCOG, the London games' organising committee, has given considerable further guidance on what amount to acceptable and unacceptable references.

In a similar vein to FIFA, LOCOG has come under heavy criticism, with claims that their legislative efforts to defeat ambush marketing have gone too far, that they have thus far been executed in a heavy-handed way, and that they have failed to provide properly for smaller and medium-sized companies to gain some benefit from the Games coming to the capital. The organiser's approach is much the same as FIFA's--there is an imperative to protect the financial viability of the Games by safeguarding their commercial partners' investments in sponsorship.

We are yet to see any significant ambush activity in relation to London 2012--no doubt some will try to get around these new measures, and looking at past history, it is clear that their ingenuity and determination should not be underestimated. It will also be interesting to see how the courts interpret the legislation, and whether LOCOG's "no tolerance" attitude towards enforcement of the OAR and the LOAR will continue as the Games draw ever nearer.

Is it all worth it?

Against the backdrop of this strict regulation, which evidently seeks to tackle companies both big and small, the question being asked is who really benefits from major sporting competitions?

Back in 1995, when the rugby World Cup came to South Africa, the socio-economic benefit to the country was huge. This time round however, what will the lasting legacy be? Apart from a short term benefit from tourism, **Ent. L.R. 297* it has been suggested that small and medium-sized businesses in South Africa have struggled to take any great benefit from the tournament--given FIFA's strict restrictions on even mentioning the tournament (the Eastern Taverns case being a good example), and the evident support of the local courts, few companies will have dared make reference to the World Cup. With a strict ring of "official" sponsors, opportunities in and around the grounds were also very limited for others - local traders were prevented from selling food, drink or football merchandise. South African companies also appear to have missed out on much of the merchandise manufacturing, with many products instead being produced in China.

On a larger scale, where do the revenues from the tournaments end up? It has been well documented for example that FIFA demands tax-free status in the host country as a prerequisite--with FIFA's profits standing at an estimated \$2 billion, a large chunk of potential revenue to the host is therefore lost. Then there are the exorbitant costs of creating stadia, infrastructure and facilities that meet FIFA's requirements, in excess of 30 billion South African rand (over £2.6 billion). Whilst improved infrastructure is to be welcomed and will last, the overall costs simply cannot be ignored in a country where extreme poverty remains.

In a different way, the same questions are now being asked about London. What will it end up costing, how will Londoners benefit? It may be that the answers to these questions cannot be given in pure economic terms--supporters of the Games will point to the social benefits that could be delivered. Whether one considers these to be sufficiently significant and long-lasting to justify the expenditure, may well depend on one's own personal view and enjoyment of these sporting events.

Conclusions--finding the balance

FIFA's stamp on ambush marketers in South Africa was clear and the message strong--exclusivity must be preserved for corporate sponsors, and action will be taken against anyone seeking to bend the rules. The role FIFA played at the World Cup, and the actions it took against Bavaria in particular, resulted in a considerable outcry in the media, and significant public fall-out, including allegations of draconian behaviour by FIFA and that the organiser retained an unhealthy grip on the host nation's legislation, authorities and judicial process, whilst pocketing a very tidy profit for itself.

The great irony in all of this is that FIFA's hard line response resulted in the "offending" companies such as Kulula and Bavaria receiving a dramatic increase in publicity. Whilst the official beer sponsor, Budweiser, will have been pleased to see FIFA tackling unauthorised marketing on its behalf, it must surely wonder how effective the approach to challenging Bavaria was, as the Dutch brewer received priceless global brand attention of the kind that Budweiser's millions could not achieve.

Questions have also been raised in some quarters over the constitutionality of the anti-ambush laws of the kind seen in South Africa (and now in London), in addition to the debate over the broad trade mark registrations secured by organisers. There are concerns that these far-reaching protections may be unfairly restricting the public's fundamental right to freedom of expression--the argument being that businesses are being unjustly prevented from, or else do not (given FIFA's approach) feel comfortable using certain expressions in a commercial context, which should arguably be free for all to use.

The goal must be finding the right balance to ensure proportionality between protecting the interests of corporate sponsors, while safeguarding the freedom of expression and legitimate business activities of others, and ensuring the host nation comes away with more than just a fading glow of excitement. With such a divergence of opinion between the event organisers and their detractors, however, it may be some time before that balance is struck.